

secured SIF licences—Edelweiss MF, Quant MF, Mirae Asset MF and ITI MF. Two other fund houses, Axis and Nippon India, which have applied for licences, have hired outside talent to head their SIF divisions. Both have hired top executives from Avendus Capital Public Markets Alternate Strategies to lead the SIF business. Avendus' CEO Andrew Holland joined Nippon MF, while CIO Nandik Mallik moved to Axis MF. Union MF, ICICI MF, SBI and DSP MF also reportedly have plans to enter the space.

On the product side, Edelweiss has chosen a hybrid strategy under the Altiva SIF brand, while Quant and Mirae under the Platinum brand and ITI MF under the Diviniti brand are focussing on equity strategies to begin with.

funds, which offer a balance of risk and return. Short-term investors, on the other hand, could look at debt funds for relatively stable returns. Each category serves a different investment goal and risk profile. Therefore, selecting the right strategy should align with the investor's personal financial objectives says Jatinder Pal Singh, CEO of ITI MF.

An ideal investor, per Singh, would be an individual who wishes to gain exposure to the equity asset class while maintaining a focus on risk management within their portfolio. SIFs allow a balanced approach allowing investors to participate in equity markets without compromising on disciplined risk control, thus making it a strong candidate for core portfolio allocation he adds.

period of up to 15 days, allowing AMC's to better align portfolio liquidity with investor redemptions and manage the fund's asset-liability profile more effectively.

There is one important consideration, investors must maintain a minimum portfolio balance of ₹10 lakh in SIFs in a single AMC. Investors can basically treat SIFs as a hybrid of MF schemes and PMS' or AIFs.

Mallik, Head of Equity and Hybrid SIFs at Axis MF, says family offices could utilise the efficiency of SIFs in terms of taxation and transparency. "As family offices prefer to use the long-short strategy of Category III AIFs to take advantage of market movements, they can get the same strategy with more tax efficiency and transparency in SIFs."

EXPERTS SAY SIFs' LOWER MINIMUM TICKET SIZE AND DIVERSE STRATEGIES ENABLE THEM TO HEDGE THE PORTFOLIO FOR EFFECTIVE DELIVERY

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Experts say SIFs' lower minimum ticket size and diverse strategies enable them to hedge the portfolio for effective delivery and risk management. This provides room to devise sophisticated strategies. Additionally, the MF style taxation under Section 10(23D) make SIFs a tax-efficient option for those seeking customised risk-return profiles without the higher ticket sizes of PMS or AIFs.

For those looking to invest in SIFs, with a long-term outlook, equity-oriented funds may be a suitable option. Those with a medium-term horizon might consider hybrid

Liquidity in SIFs is relatively robust, as they invest only in listed securities, ensuring adequate portfolio liquidity. However, unlike mutual funds that typically offer daily redemptions, SIFs come with more structured redemption windows. For hybrid and debt-oriented strategies, redemptions are permitted twice and once a week, respectively. Asset management companies (AMCs) also have the flexibility to set longer redemption cycles, monthly, quarterly, or beyond depending on the fund's design and investment strategy. Additionally, SIFs can have a redemption notice

Talking on the future growth of SIF, Radhika Gupta, MD and CEO of Edelweiss MF, says that SIFs open a compelling new avenue for asset managers to design and launch innovative strategies that go beyond the constraints of the MF structure. "These funds are well-positioned to fill the growing gap between MFs and AIFs. With India witnessing a steady rise in affluent and high networth investors seeking differentiated investment solutions, SIFs are poised for rapid adoption," she says. **BT**

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3 At the upper end, AIFs have a minimum investment of ₹1 crore and it is ₹50 lakh for PMS schemes

4 SIFs have MF style taxation, where tax is only levied on redemption, making them tax-efficient

5 They can invest up to 25% of their portfolios in derivatives